

Twice the Rupees, Less on the Plate

Household Living Standards in HIES 2024–25

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KEY NUMBERS

+98%

Rise in average monthly household income, Rs 41,545 to Rs 82,179

+125%

Rise in consumer prices over the same period (national CPI)

-12%

Change in average household income after inflation

13 of 14

Staple foods eaten in smaller quantities per person

Source: PBS, HIES 2024–25; Finance Division; PBS CPI. Real change calculated by ARS.

Key Findings

- In rupee terms, average household income almost doubled between 2018–19 and 2024–25 (+98%). Consumer prices rose faster (+125%), so real household income fell by about 12%.
- Real spending per person was roughly flat (–1%). Six years brought no measurable gain in the average Pakistani’s standard of living.
- The poorest fifth of the population lost about 20% of its real income. The richest fifth lost about 3%, and it was the only group whose real consumption rose.
- People ate less of almost everything the survey measures. Per person, pulses fell 26%, rice 19%, milk 10% and wheat flour 6%. Only tomatoes rose.
- Households are leaning more on transfers. Remittances from abroad and gifts and assistance, which include BISP, together rose from 7% to 12% of household income.

About the Data

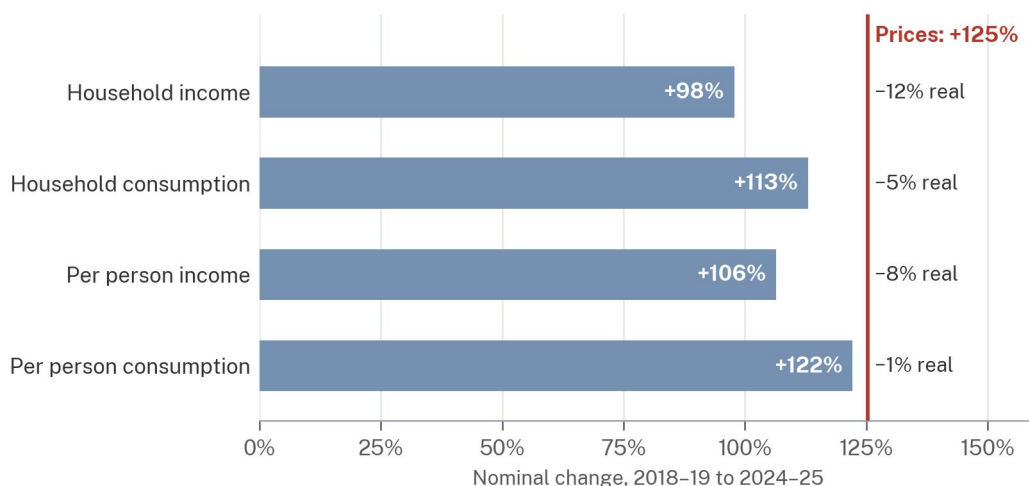
The Household Integrated Economic Survey (HIES) is the Pakistan Bureau of Statistics' (PBS) main instrument for measuring household income and consumption. The 2024–25 round was the first conducted fully digitally. It was fielded between September 2024 and June 2025, covered about 32,800 households, including in AJK and Gilgit-Baltistan, and drew its sample from the 2023 digital census.¹ The previous comparable round, 2018–19, was fielded between August 2018 and June 2019 and covered 24,809 households.⁴

PBS publishes income and spending in current rupees. That is the right way to record them, but it means the headline comparisons in the report are not adjusted for inflation.^{1,2} This brief adjusts them using the national Consumer Price Index. Average annual CPI inflation was 10.74% in FY2020, 8.90% in FY2021, 12.15% in FY2022, 29.18% in FY2023, 23.41% in FY2024 and 4.49% in FY2025.^{5,6} Together these raise the price level by 125.3% between the two survey years. Each survey's fieldwork falls within a single fiscal year, so fiscal-year averages are a reasonable deflator.

Incomes Doubled. Prices More Than Doubled.

Average monthly household income rose from Rs 41,545 to Rs 82,179 and average monthly consumption from Rs 37,159 to Rs 79,150.¹ Neither kept pace with prices. After inflation, household income fell by 12% and household consumption by 5% (Figure 1).

Figure 1. Household incomes and spending rose in rupees but fell after inflation



Note: Nominal change between HIES 2018–19 and HIES 2024–25; real change deflated by the cumulative rise in national CPI (FY2019 to FY2025). Per person income derived by ARS. Source: PBS, HIES 2024–25, Tables 3.2, 3.5.A, 3.6.A, 3.6.B; Finance Division; PBS. Calculations by ARS.

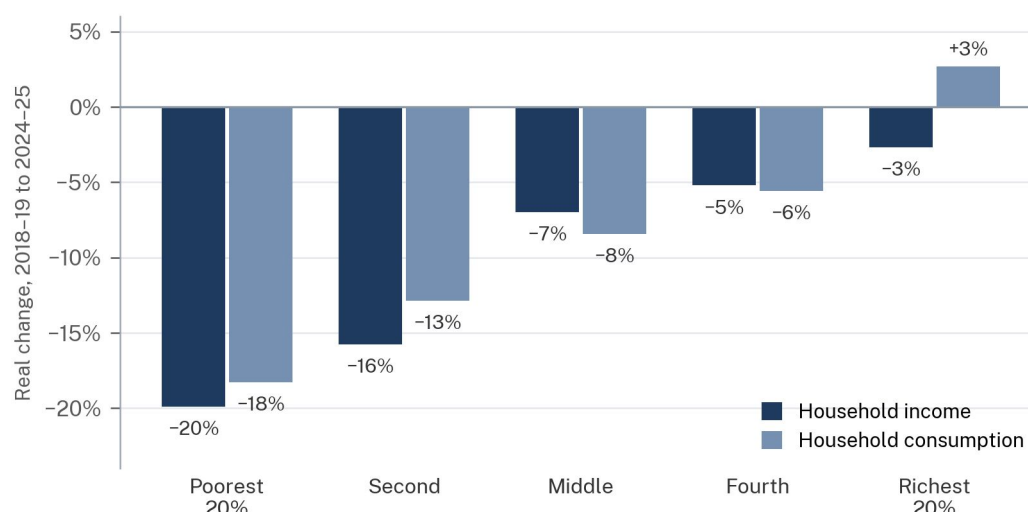
Part of the fall reflects smaller households. Average household size fell from 6.24 to 5.98 members and earners per household from 1.86 to 1.72.¹ The

fairer measure is therefore per person. On that basis, real income per person fell by about 8% and real consumption per person by about 1%. PBS's own per person spending figure, Rs 5,959 in 2018–19 and Rs 13,240 in 2024–25, is almost exactly what inflation alone would produce.¹ Spending also rose faster than income. On PBS's national averages, consumption equalled 89% of reported income in 2018–19 and 96% in 2024–25. That points to a thinner margin for saving.

The Bottom Lost the Most

Income growth rose with each step up the distribution. The poorest fifth of the population saw nominal household income rise 80%, and the richest fifth saw it rise 119%.¹ Neither beat inflation, but the difference in outcomes is large. After inflation, the poorest fifth lost about 20% of its income and 18% of its consumption, while the richest fifth lost 3% of its income and increased its consumption by 3% (Figure 2).

Figure 2. The poorest fifth lost the most real income



Note: Consumption quintiles, each representing 20% of the population. Real change deflated by national CPI. Source: PBS, HIES 2024–25, Tables 3.5.A and 3.6.A. Calculations by ARS.

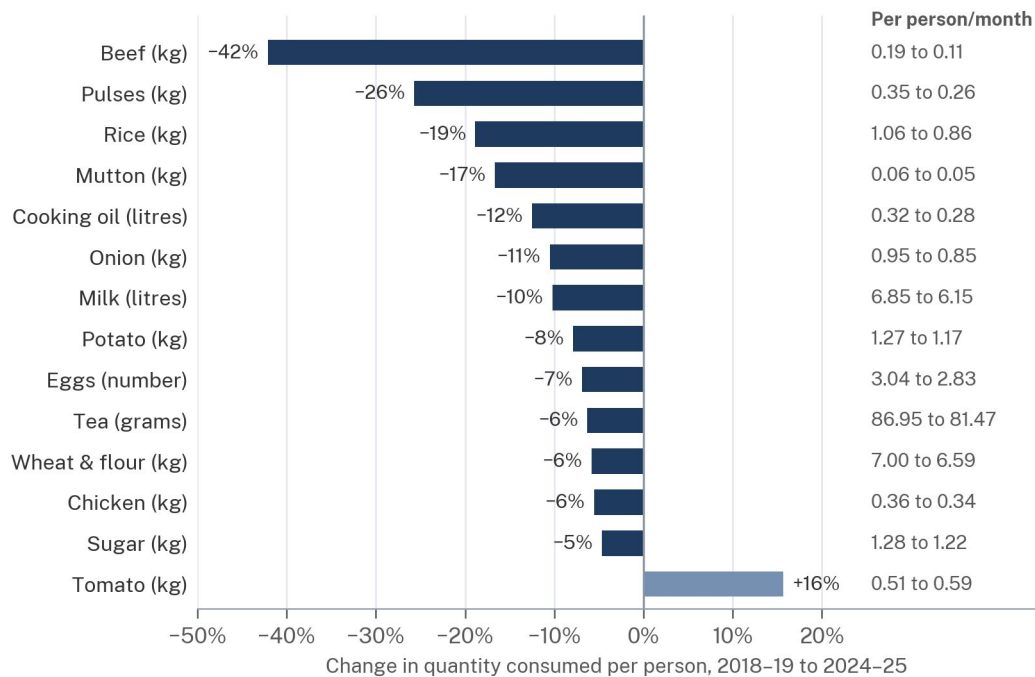
The gap between the top and the bottom widened as a result. The richest fifth's average household income was 2.74 times the poorest fifth's in 2018–19 and 3.33 times in 2024–25. For consumption, the ratio rose from 2.68 to 3.37.¹ PBS reaches the same conclusion in its own report: incomes are rising, but the gap between low- and high-income households continues to widen.¹

Less on the Plate

Rupee values depend on which price index is used to deflate them. Physical quantities do not, which makes them the most direct test of living standards in the survey. HIES records how much of each staple a person consumes

each month. Of the 14 items reported in both rounds, consumption fell for 13 (Figure 3).

Figure 3. People ate less of 13 of the 14 staples measured



Note: National monthly per capita quantities. Small quantities are rounded in the source. Source: PBS, HIES 2024-25, Table 3.7.C. Calculations by ARS.

The largest falls were in protein and pulses: beef fell 42% and pulses 26%, while milk fell 10% and eggs 7%. Staples fell too: rice by 19%, cooking oil by 12% and wheat and flour by 6%. Food's share of the household budget was broadly unchanged at about 37%.¹ Within that budget, the shares spent on wheat and on vegetable ghee both rose, which is typical when households trade down to cheaper calories. For the poorest fifth, wheat and ghee now take 30% of food spending, against 10% for the richest fifth.¹ Squeezed budgets show up elsewhere too. Education fell from 3.98% to 2.48% of household spending, while housing, water, electricity and fuel rose from 23.76% to 25.72%.¹

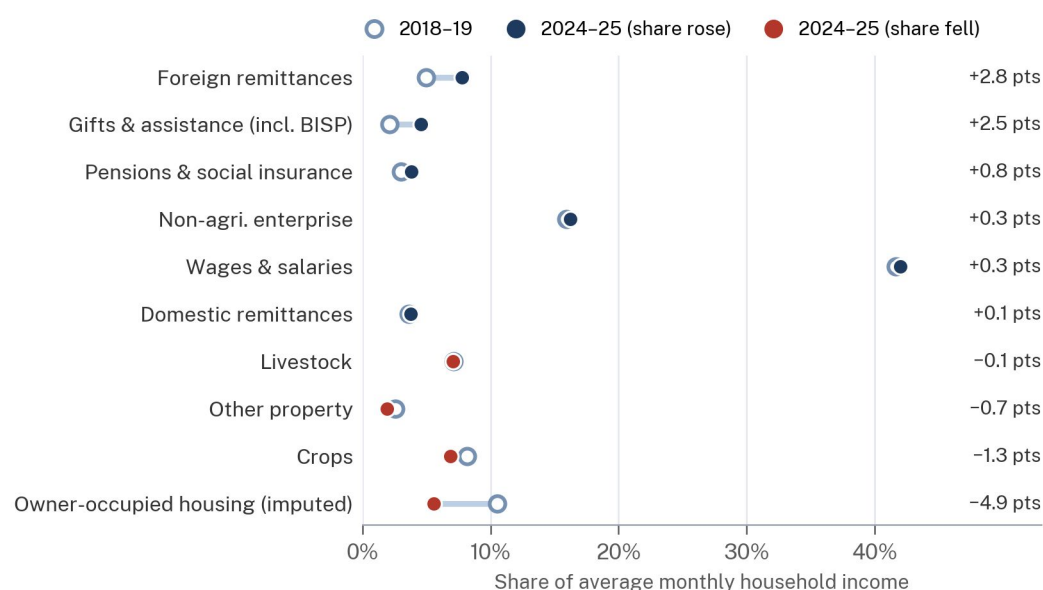
Households Are Leaning on Transfers

The sources of household income moved away from farming and towards transfers (Figure 4). Foreign remittances rose from 4.96% to 7.77% of household income, and to 9.50% in rural areas. Gifts and assistance, a category that includes BISP cash transfers, more than doubled from 2.12% to 4.57%. Crop income fell from 8.18% to 6.89%.¹ Wages and salaries stayed at about 42%.

The imputed rental value of owner-occupied housing fell from 10.52% to 5.59% of income. A fall of that size in a non-cash item is more likely to reflect

a change in how the value is estimated than a real change in households' circumstances, and it should be read with caution.

Figure 4. Transfers took a larger share of household income



Note: National averages; percentage-point change shown on right. Gifts and assistance include BISP cash transfers.
Source: PBS, HIES 2024-25, Table 3.5.B.

What the Numbers Mean

In ARS's assessment, the survey leads to three conclusions. First, headline nominal figures are misleading in a period of high inflation. Official releases that state that household income "almost doubled" without a real-terms figure invite the wrong conclusion. PBS could publish inflation-adjusted series alongside current-price figures as standard practice.

Second, the losses fell hardest on the households least able to absorb them. Falling consumption of pulses, milk and eggs, together with poorer households' heavy reliance on wheat and ghee, raises nutritional concerns that income averages do not capture. Social protection and food policy should be designed around real purchasing power, not nominal transfer values.

Third, households are relying more on remittances and assistance to cover the gap. That support is valuable but fragile. It depends on conditions abroad and on the fiscal space available for BISP. The survey's fieldwork ended in June 2025, before the recovery of FY2026. The next HIES round will show whether that recovery has reached household budgets.

Data Notes

All HIES figures are PBS estimates from Chapter 3 of the HIES 2024–25 report. Real changes are ARS calculations using national CPI fiscal-year averages. Per person income is derived by ARS as average household income divided by average household size. Household surveys usually under-report income, especially at the top, so income levels should be read as indicative. PBS revised the food consumption module in 2024–25 to align with COICOP 2018, which may affect comparisons for individual items. Quantities for small items are rounded in the source: mutton, for example, is recorded as 0.06 kg and 0.05 kg, so its percentage change is imprecise. The report's narrative text says food's budget share fell from 36.72% to 36.05%, but its Figures 3 and 4 show 36.05% in 2018–19 and 36.72% in 2024–25. This brief follows the figures.

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About the Author

Reza Khan is a researcher with an M.Phil. in Government and Public Policy from the National Defence University, Islamabad, and an MBA. His professional background spans business strategy, international trade, economics and organizational leadership. His research focuses on public policy, governance, strategic communication, and the relationship between technology, institutions and society.